2.1 Growing the business

Paper 2 / Theme 2 · Edexcel GCSE Business 1BS0

Standalone question bank — with original figures, charts, diagrams

Each question carries its full case-study extract (text), data tables, AND embedded original-paper pages for any figures / charts / bar-gate graphs / diagrams / photos. Print and revise without needing the original papers.

- **Total questions:** 29
- **Total marks:** 131
- **Sub-topics covered:** 4
- **Questions with embedded source pages:** 17

By series:

- **Specimen SAMs:** 3 questions
- **June 2019:** 5 questions
- **Nov 2020:** 6 questions
- **Nov 2021:** 3 questions
- **June 2022:** 5 questions
- **June 2023:** 3 questions
- **June 2024:** 4 questions

2.1.1 Business growth (11 questions)

Specimen SAMs · Paper 2 · Q7(a) · §C

Define 1 marks

CASE STUDY EXTRACT

Extract B: Argos and Sainsbury's are familiar brands in the UK. Figure 4 shows Sainsbury's: Employees 161,000, 1,304 Stores, Annual Sales £23.7bn, Profit before tax £681bn; Home Retail Group/Argos: Employees 47,000, 840 Stores, Annual Sales £5.7bn, Profit before tax £93.8bn. In February 2016, Home Retail Group plc, the owners of the high-street catalogue store Argos, agreed to be taken over by Sainsbury's plc in a £1.3bn deal. The takeover has arisen because market conditions have changed in high-street retailing. The move towards smaller, more convenient supermarkets such as those provided by Lidl and Aldi has left Sainsbury's plc with overly large stores which consumers increasingly do not want to use. Argos also found itself in an increasingly competitive market place and was struggling to compete against the giant e-tailer Amazon.com on both price and speed of delivery. Figure 5 'Both brands have universal appeal' shows customer segmentation by income (%): High Income Sainsbury's 31, Argos 27; Middle Income Sainsbury's 45, Argos 45; Low Income Sainsbury's 24, Argos 28. Customer segmentation by age (%): <25 Sainsbury's 14, Argos 13; 25-34 Sainsbury's 21, Argos 22; 35-44 Sainsbury's 22, Argos 22; 45-54 Sainsbury's 19, Argos 20; 55+ Sainsbury's 24, Argos 23. The takeover of Argos by Sainsbury's plc will create the UK's largest non-food retailer and will allow Sainsbury's plc the ability to open Argos stores within the unused space in Sainsbury's supermarkets. This will result in Argos' stores on the high street closing. The combined company will also be able to improve its home delivery operation with grocery items and non-food items now being delivered to homes only four hours after the order was originally placed.

DATA FOR QUESTION 7

In order to improve its competitive advantage, Argos has two options: Option 1: Lower prices. Option 2: Increase the speed of home delivery.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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In order to improve its competitive advantage, Argos has two options:

Option 1: Lower prices

Option 2: Increase the speed of home delivery

(d) Justify which **one** of these options Argos should choose.

(9)

(e) Evaluate whether Sainsbury's is likely to benefit from its takeover of Home Retail Group. You should use the information provided as well as your knowledge of business.

(12)

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Define the term 'takeover'.

MARK SCHEME ANSWER

Award 1 mark for a correct definition of takeover. Where one business acquires (greater than 50% of the shares in) another business (1).

Specimen SAMs · Paper 2 · Q7(e) · §C

Evaluate 12 marks

CASE STUDY EXTRACT

Extract B: Argos and Sainsbury's are familiar brands in the UK. Figure 4 shows Sainsbury's: Employees 161,000, 1,304 Stores, Annual Sales £23.7bn, Profit before tax £681bn; Home Retail Group/Argos: Employees 47,000, 840 Stores, Annual Sales £5.7bn, Profit before tax £93.8bn. In February 2016, Home Retail Group plc, the owners of the high-street catalogue store Argos, agreed to be taken over by Sainsbury's plc in a £1.3bn deal. The takeover has arisen because market conditions have changed in high-street retailing. The move towards smaller, more convenient supermarkets such as those provided by Lidl and Aldi has left Sainsbury's plc with overly large stores which consumers increasingly do not want to use. Argos also found itself in an increasingly competitive market place and was struggling to compete against the giant e-tailer Amazon.com on both price and speed of delivery. Figure 5 'Both brands have universal appeal' shows customer segmentation by income (%): High Income Sainsbury's 31, Argos 27; Middle Income Sainsbury's 45, Argos 45; Low Income Sainsbury's 24, Argos 28. Customer segmentation by age (%): <25 Sainsbury's 14, Argos 13; 25-34 Sainsbury's 21, Argos 22; 35-44 Sainsbury's 22, Argos 22; 45-54 Sainsbury's 19, Argos 20; 55+ Sainsbury's 24, Argos 23. The takeover of Argos by Sainsbury's plc will create the UK's largest non-food retailer and will allow Sainsbury's plc the ability to open Argos stores within the unused space in Sainsbury's supermarkets. This will result in Argos' stores on the high street closing. The combined company will also be able to improve its home delivery operation with grocery items and non-food items now being delivered to homes only four hours after the order was originally placed.

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Specimen SAMs P2 page 66

Evaluate whether Sainsbury's is likely to benefit from its takeover of Home Retail Group. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: Larger businesses can exploit economies of scale (AO1b). Different businesses target different market segments (AO1b). The enlarged business would be able to exploit economies of scale because Argos stores can be closed down and placed inside Sainsbury's supermarkets (AO2). Some low-income Argos customers may not normally do their grocery shopping in Sainsbury's, so the number of customers who use the enlarged business could go down (AO2). The enlarged business can reduce its fixed costs. This allows unit costs to decrease so that it can compete more effectively with Aldi and Lidl by being able to charge lower prices (AO3a). Demand for Argos' products will decrease, leading to falling revenues since it may not retain all of its customers (AO3a). Argos is struggling to compete with Amazon, which is an e-tailer. Therefore, even after taking advantage of economies of scale Amazon will still have lower unit costs and lower prices since it does not have any high-street shops. So Sainsbury's is unlikely to benefit significantly from its takeover of Argos (AO3b). The takeover creates the UK's largest non-food retailer. Therefore, the economies of scale generated could be significant, allowing the enlarged business to effectively compete with large e-tailer rivals such as Amazon (AO3b). Level 1 (1-4), Level 2 (5-8), Level 3 (9-12) descriptors apply.

June 2019 · Paper 2 · Q6(a) · §B

State 1 marks

CASE STUDY EXTRACT

> Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012. In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers. Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

DATA FOR QUESTION 6

> Mind Candy case study (believes Petlandia will allow it to return to organic growth).

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

© Mind Candy

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012.

In 2013, *Mind Candy* made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, *Mind Candy* reduced its workforce of software developers.

(Source from: https://www.petlandia.com/custom-book.html#create)

Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. *Mind Candy* believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

(Source from: 'Moshi Monsters maker Mind Candy fears adminstration as sales tumble further' by Christopher Williams, 11 OCTOBER 2016 © Telegraph Media Group Limited)

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State one drawback to Mind Candy of organic growth.

MARK SCHEME ANSWER

Award 1 mark for stating one drawback to Mind Candy of organic growth. Lack of cash, considering the company was making losses in 2013 (1). It is a slow method of growth in the games market (1). Accept any other appropriate response. Do not accept drawbacks of organic growth that would not be related to Mind Candy. For example, Mind Candy might struggle to come up with new products.

Nov 2020 · Paper 2 · Q2(a) · §A MCQ **2 marks**

DATA FOR QUESTION 2

Table 1 contains financial information about the performance of a business. Sales revenue £625,000; Cost of sales £145,000; Other operating expenses and interest £200,000.

Which two of the following are external sources of finance?

A. Loan capital
B. Retained profit
C. Sales revenue
D. Selling assets
E. Share capital

MARK SCHEME ANSWER

The only correct answers are A - Loan capital and E - Share capital. B is not correct because it is an internal source of finance. C is not correct because it is not a source of finance. D is not correct because it is an internal source of finance.

Nov 2020 · Paper 2 · Q2(b) · §A MCQ **2 marks**

DATA FOR QUESTION 2

Table 1 contains financial information about the performance of a business. Sales revenue £625,000; Cost of sales £145,000; Other operating expenses and interest £200,000.

Which two of the following are methods of external growth for a business?

A. Improve promotion
B. Innovation
C. Merger
D. Research and development
E. Takeover

MARK SCHEME ANSWER

The only correct answers are C - Merger and E - Takeover. A is not correct because it is a method of internal growth. B is not correct because it is a method of internal growth. D is not correct because it is a method of internal growth.

Nov 2020 · Paper 2 · Q3(e) · §A

Discuss **6 marks**

DATA FOR QUESTION 3

> In 2018 a business sold three products, X, Y and Z. Figure 1 shows the sales revenue generated for each of these products. Product X: £700,000; Product Y: £150,000; Product Z: £350,000.

Discuss the impact on a business of becoming a public limited company (plc).

MARK SCHEME ANSWER

Indicative content: The business can now issue new shares to a large number of potential shareholders to raise capital for expansion (AO1b). The issuing of new shares will dilute the existing owners' percentage ownership of the company (AO1b). Therefore, with the ability to sell their shares easily, shareholders may purchase large numbers of shares raising large amounts of capital to fund growth (AO3a). Therefore, the original owners may lose control of the business that they helped to create, and the company may become part of a much larger one (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

June 2022 · Paper 2 · Q6(b) · §B

Outline 2 marks

CASE STUDY EXTRACT

> Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK. In 2018, Greggs planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, Greggs also planned to invest in improved logistics. The growth of Greggs has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, Greggs now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks. Figure 3: Greggs' vegan sausage roll. In 2019, Greggs gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help Greggs stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent. (Source: adapted from https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth and https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/)

DATA FOR QUESTION 6

> In order to continue the growth in its sales, Greggs is considering two options: Option 1: differentiate its product range; Option 2: lower its prices.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK.

In 2018, *Greggs* planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, *Greggs* also planned to invest in improved logistics.

The growth of *Greggs* has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, *Greggs* now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks.

(Source: abimages/Shutterstock)

Figure 3: *Greggs'* vegan sausage roll

In 2019, *Greggs* gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help *Greggs* stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent.

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Outline one benefit to Greggs of being a public limited company (plc).

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a benefit to Greggs. Award a maximum of 1 mark if points are not linked. Greggs could issue shares (1). Therefore, making it easier to raise capital to fund a 130 shop expansion (1). Greggs will now have a greater public profile (1). As a result, it could attract the best managers from rivals such as Costa (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

June 2022 · Paper 2 · Q7(e) · §C

Evaluate 12 marks

CASE STUDY EXTRACT

> JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club. In March 2019, JD Sports announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like JD Sports, had its headquarters in Greater Manchester and was started by an ex-JD Sports director, David Makin. Footasylum had 69 stores in the UK in similar locations to JD Sports. Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to JD Sports such as Nike, Adidas and Puma. JD Sports brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct. In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers. (Source: adapted from https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/ and https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores)

DATA FOR QUESTION 7

> Figure 5 shows the percentage of customers the website www.jdsports.co.uk has had from various social media websites in 2020. Facebook 36.21%; Other social media 7.76%; WhatsApp WebApp 3.41%; YouTube 38.84%; Vkontakte 1.33%; Twitter 12.45%.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

(Source: Cineberg/Shutterstock)

JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club.

(Source: chrisdorney/Shutterstock)

Figure 4: The *JD Sports* website

In March 2019, *JD Sports* announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like *JD Sports*, had its headquarters in Greater Manchester and was started by an ex-*JD Sports* director, David Makin. Footasylum had 69 stores in the UK in similar locations to *JD Sports*. Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to *JD Sports* such as Nike, Adidas and Puma. *JD Sports* brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct.

In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers.

(Source: adapted from https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/ and https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores)

Evaluate whether the takeover of Footasylum will allow JD Sports to increase its profit. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: It would give JD Sports a larger market share (AO1b). It would eliminate a main competitor (AO1b). This is because Footasylum target a similar market segment to that of JD Sports by focusing on 16-24 year olds and the 'athleisure' market (AO2). This would reduce the level of competition in the 16-24 year olds trainer market since it is likely that JD Sports would close down Footasylum shops in duplicate locations (AO2). This would allow JD Sports to place larger orders for trainers from suppliers such as Nike and Adidas. This may then generate a bulk-buying discount. This could enable JD Sports to make a higher profit margin on each pair of trainers sold or lower prices to effectively compete with Sports Direct (AO3a). As a result, consumers would now face less choice as to where they can buy trainers from and are more likely to purchase from JD Sports. As a result, due to the lack of competition, the price of a pair of trainers could rise, allowing JD Sports to benefit through a higher profit margin (AO3a). However, the Competition and Markets Authority (CMA) have launched an investigation, so it is possible that the takeover could be blocked, considering JD Sports already own Footpatrol and Kukri. This could result in lower profits. The change in profit depends on what, if anything, the CMA decide to do (AO3b). However, Footasylum was loss making and there is still significant competition in the market from Sports Direct. Therefore, it is possible that the takeover of Footasylum only has a minimal impact on JD Sports' profit. The £90.1m spent acquiring the rival could have been better used to improve the shopping experience in store which may have had a greater effect on profit. Levels: Level 0 No rewardable material. Level 1 (1–4): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b). Level 2 (5-8): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b). Level 3 (9-12): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

June 2023 · Paper 2 · Q7(c) · §C

Outline 2 marks

CASE STUDY EXTRACT

Extract B: In 2004, entrepreneur Mark Zuckerberg started Facebook. Then, in 2012, the company floated on the stock exchange and became a public limited company (plc). By 2020, Facebook plc had become the largest social networking website in the world with 2.5 billion users and advertising revenues of $70.1 billion. The company has used internal and external growth to expand. Between 2012 and 2020, Facebook purchased over 60 different companies, including WhatsApp, Instagram and the virtual reality company, Oculus. However, Facebook wants to reduce its reliance on revenue from advertising on its websites and sees its future growth coming from new markets such as selling virtual reality headsets. Facebook believes that social media is now reaching the maturity phase in its product life cycle in most of its main markets. In 2020 Facebook decided to give employees in its European headquarters in Dublin the option to work from home. Facebook believes that remote working will not result in lower productivity. It also believes it will allow Facebook to attract talented people such as coders, graphic designers and software engineers who cannot afford to live in expensive locations such as Dublin. Facebook believes that having less office space will reduce costs and give the company a competitive advantage against its rivals such as Snapchat and Twitter.

DATA FOR QUESTION 7

Figure 5 shows the market share for each company in the virtual reality headset market in 2018 and 2019. Sony 2018: 42.5%, 2019: 36.5%. Facebook 2018: 19%, 2019: 28%. HTC 2018: 12.5%, 2019: 13%. Microsoft 2018: 3%, 2019: 0%. Others 2018: 21%, 2019: 21%.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Look at Figure 4 and read Extract B, then answer Question 7.

Extract B

Figure 4: An Oculus virtual reality headset

In 2004, entrepreneur Mark Zuckerberg started *Facebook*. Then, in 2012, the company floated on the stock exchange and became a public limited company (plc). By 2020, *Facebook* plc had become the largest social networking website in the world with 2.5 billion users and advertising revenues of $70.1 billion.

The company has used internal and external growth to expand. Between 2012 and 2020, *Facebook* purchased over 60 different companies, including WhatsApp, Instagram and the virtual reality company, Oculus. However, *Facebook* wants to reduce its reliance on revenue from advertising on its websites and sees its future growth coming from new markets such as selling virtual reality headsets. *Facebook* believes that social media is now reaching the maturity phase in its product life cycle in most of its main markets.

In 2020 *Facebook* decided to give employees in its European headquarters in Dublin the option to work from home. *Facebook* believes that remote working will not result in lower productivity. It also believes it will allow *Facebook* to attract talented people such as coders, graphic designers and software engineers who cannot afford to live in expensive locations such as Dublin. *Facebook* believes that having less office space will reduce costs and give the company a competitive advantage against its rivals such as Snapchat and Twitter.

(Source: adapted from https://www.irishtimes.com/business/technology/facebook-to-reopen-irish-offices-in-early-july-1.4259429 and https://www.theguardian.com/technology/2020/may/21/facebook-coronavirus-remote-working-policy-extended-years/)

Outline one advantage to Facebook of becoming a public limited company (plc).

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining an advantage to Facebook of becoming a public limited company (plc). Award a maximum of 1 mark if points are not linked. Facebook will be able to issue more shares at flotation (1). Therefore, raising capital to fund development of its social media apps (1). Facebook may now have a higher public profile (1). As a result, it may be able to attract the best website developers to work for the company (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

June 2023 · Paper 2 · Q7(d) · §C

Justify 9 marks

CASE STUDY EXTRACT

> Extract B: In 2004, entrepreneur Mark Zuckerberg started Facebook. Then, in 2012, the company floated on the stock exchange and became a public limited company (plc). By 2020, Facebook plc had become the largest social networking website in the world with 2.5 billion users and advertising revenues of $70.1 billion. The company has used internal and external growth to expand. Between 2012 and 2020, Facebook purchased over 60 different companies, including WhatsApp, Instagram and the virtual reality company, Oculus. However, Facebook wants to reduce its reliance on revenue from advertising on its websites and sees its future growth coming from new markets such as selling virtual reality headsets. Facebook believes that social media is now reaching the maturity phase in its product life cycle in most of its main markets. In 2020 Facebook decided to give employees in its European headquarters in Dublin the option to work from home. Facebook believes that remote working will not result in lower productivity. It also believes it will allow Facebook to attract talented people such as coders, graphic designers and software engineers who cannot afford to live in expensive locations such as Dublin. Facebook believes that having less office space will reduce costs and give the company a competitive advantage against its rivals such as Snapchat and Twitter.

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ADDITIONAL INFORMATION

> In order to increase its profit, Facebook is considering two options: Option 1: grow internally. Option 2: grow externally.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Look at Figure 4 and read Extract B, then answer Question 7.

Extract B

Figure 4: An Oculus virtual reality headset

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In 2020 *Facebook* decided to give employees in its European headquarters in Dublin the option to work from home. *Facebook* believes that remote working will not result in lower productivity. It also believes it will allow *Facebook* to attract talented people such as coders, graphic designers and software engineers who cannot afford to live in expensive locations such as Dublin. *Facebook* believes that having less office space will reduce costs and give the company a competitive advantage against its rivals such as Snapchat and Twitter.

(Source: adapted from https://www.irishtimes.com/business/technology/facebook-to-reopen-irish-offices-in-early-july-1.4259429 and https://www.theguardian.com/technology/2020/may/21/facebook-coronavirus-remote-working-policy-extended-years/)

Justify which one of these two options Facebook should choose to increase its profit.

MARK SCHEME ANSWER

Indicative content: This could allow Facebook, using its existing resources, to move into other markets away from social media where, perhaps, growth opportunities are better (AO2). Facebook has already grown inorganically and has purchased over 60 different companies within an 8-year period (AO2). With social media becoming a service that is moving into the maturity phase of its product life cycle in most markets, the profits from advertising are unlikely to grow as fast as they did in the past. Thus, new markets, such as virtual reality, offer new potential for growth that could boost demand and offer new revenue streams and hence increased profits (AO3a). Therefore, by eliminating more competitors, Facebook is in a position of power to ask advertisers to pay higher prices for advertising space. This could result in each online advertisement having a higher profit margin than before (AO3a). However, internal growth is slow. Facebook has limited experience in new markets. Virtual reality may not grow as much as expected and Facebook's lack of experience may lead to costly errors that may reduce, rather than increase profits (AO3b). However, Facebook may not be able to grow further in its existing market. The market is already mature and competition laws may prevent further merger and takeover activity. This may constrain, rather than increase, profits (AO3b). Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

June 2024 · Paper 2 · Q4(a) · §B

Outline 2 marks

CASE STUDY EXTRACT

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, Popeyes has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, Popeyes had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become Popeyes' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside. However, Popeyes is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, *Popeyes* has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, *Popeyes* had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become *Popeyes'* best performing outlet in the world, often with queues of between 50 to 100 people waiting outside.

(Source: © Nigel J. Harris/Shutterstock)

Figure 2

However, *Popeyes* is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

Outline one method of internal growth that Popeyes could use.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a method of internal growth that Popeyes could use. Introducing new menu items (1). This will encourage more people to choose Popeyes over Burger King (1). Opening up more branches (1). This gives people in other towns and cities the ability to try their fried chicken (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

2.1.2 Changes in business aims and objectives (2 questions)

June 2019 · Paper 2 · Q5(c) · §B

Analyse 6 marks

CASE STUDY EXTRACT

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012. In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers. Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

DATA FOR QUESTION 5

Mind Candy case study. Table 2 contains information about Mind Candy's performance in 2013. Sales revenue: £30 560 692; Gross profit: £22 190 385; Other operating expenses and interest: £25 044 332.

ADDITIONAL INFORMATION

Mind Candy case study. As a result of the problems it faced in 2013, Mind Candy changed its main business objective from growth to survival.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

© Mind Candy

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012.

In 2013, *Mind Candy* made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, *Mind Candy* reduced its workforce of software developers.

(Source from: https://www.petlandia.com/custom-book.html#create)

Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. *Mind Candy* believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

(Source from: 'Moshi Monsters maker Mind Candy fears adminstration as sales tumble further' by Christopher Williams, 11 OCTOBER 2016 © Telegraph Media Group Limited)

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Analyse the impact on Mind Candy of changing its main business objective to survival.

MARK SCHEME ANSWER

Indicative content: Mind Candy may have to abandon or reduce the development of new games and apps (AO2). Mind Candy may have to reduce its workforce of web designers and software developers (AO2). This may cut costs and cash outflows, reducing the likelihood of negative net cash flows. Therefore, improving the likelihood that Mind Candy may receive the £1.2 million investment that it needs to survive (AO3a). This may make Mind Candy less attractive to the most highly-skilled software developers since there may be fewer opportunities to work on high-profile new games (AO3a). Level 1 (1-2 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

June 2024 · Paper 2 · Q7(d) · §C

Justify 9 marks

CASE STUDY EXTRACT

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie. In 2019, Cineworld had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at Cineworld cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive. These factors led to Cineworld making a £537 million loss in 2022, leaving the company close to failure. The Cineworld share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments. Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, Cineworld has so far refused to do this. It still charges £18.69 for its most expensive tickets.

DATA FOR QUESTION 7

Figure 4 shows the UK market share of the four largest cinema chains in 2016 and 2019. Odeon: 21.9% (2019), 24.3% (2016); Showcase: 6.0% (2019), 5.6% (2016); Vue: 20.0% (2019), 20.4% (2016); Cineworld: 23.0% (2019), 25.4% (2016).

ADDITIONAL INFORMATION

In order to cover its loan repayments, Cineworld plc is considering the following two options: Option 1: selling assets. Option 2: issue new share capital.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie.

In 2019, *Cineworld* had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at *Cineworld* cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive.

These factors led to *Cineworld* making a £537 million loss in 2022, leaving the company close to failure. The *Cineworld* share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments.

(Source: Chaz Bharj / Alamy Stock Photo)

Figure 3

Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, *Cineworld* has so far refused to do this. It still charges £18.69 for its most expensive tickets.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

Justify which one of these two options Cineworld plc should choose.

MARK SCHEME ANSWER

Indicative content: Selling assets involves selling cinemas for cash to allow Cineworld to cover its loan repayments on £2.3bn of debt (AO2). Cineworld is a public limited company so it could sell large numbers of new shares to raise cash to cover its loan repayments on its cinemas (AO2). This should raise cash, especially if the cinemas are in popular locations such as city centres where other cinema or leisure groups may be interested in purchasing these assets for large sums of cash (AO3a). This may work since existing shareholders have seen the Cineworld share price fall considerably and if no new shares are purchased it is likely that the company will fail. Therefore, they may be willing to purchase additional shares to protect their original investment, giving Cineworld enough cash to survive until there is an increase in cinema demand (AO3a). However, cinemas are normally large buildings that may have limited alternative uses and with fewer people visiting cinemas since the global pandemic, it may well be that not enough cash is generated to cover the loan repayment Cineworld must make. Therefore, selling assets may not provide sufficient cash, since it is dependent on the market value of the properties (AO3b). However, Cineworld will have to issue a large number of new shares which will significantly reduce the percentage ownership of the existing shareholders. Some existing or new shareholders may be unwilling to purchase the new shares due to the financial position of the company. Therefore, the success of this option depends on how confident investors are about the future of the company (AO3b). Level 1 (1-3): Limited application, simple justification. Level 2 (4-6): Sound application, justification based on sound evaluation. Level 3 (7-9): Detailed application, clear justification based on thorough evaluation.

2.1.3 Business and globalisation (9 questions)

Specimen SAMs · Paper 2 · Q7(c) · §C

Outline 2 marks

CASE STUDY EXTRACT

> Extract B: Argos and Sainsbury's are familiar brands in the UK. Figure 4 shows Sainsbury's: Employees 161,000, 1,304 Stores, Annual Sales £23.7bn, Profit before tax £681bn; Home Retail Group/Argos: Employees 47,000, 840 Stores, Annual Sales £5.7bn, Profit before tax £93.8bn. In February 2016, Home Retail Group plc, the owners of the high-street catalogue store Argos, agreed to be taken over by Sainsbury's plc in a £1.3bn deal. The takeover has arisen because market conditions have changed in high-street retailing. The move towards smaller, more convenient supermarkets such as those provided by Lidl and Aldi has left Sainsbury's plc with overly large stores which consumers increasingly do not want to use. Argos also found itself in an increasingly competitive market place and was struggling to compete against the giant e-tailer Amazon.com on both price and speed of delivery. Figure 5 'Both brands have universal appeal' shows customer segmentation by income (%): High Income Sainsbury's 31, Argos 27; Middle Income Sainsbury's 45, Argos 45; Low Income Sainsbury's 24, Argos 28. Customer segmentation by age (%): <25 Sainsbury's 14, Argos 13; 25-34 Sainsbury's 21, Argos 22; 35-44 Sainsbury's 22, Argos 22; 45-54 Sainsbury's 19, Argos 20; 55+ Sainsbury's 24, Argos 23. The takeover of Argos by Sainsbury's plc will create the UK's largest non-food retailer and will allow Sainsbury's plc the ability to open Argos stores within the unused space in Sainsbury's supermarkets. This will result in Argos' stores on the high street closing. The combined company will also be able to improve its home delivery operation with grocery items and non-food items now being delivered to homes only four hours after the order was originally placed.

DATA FOR QUESTION 7

> In order to improve its competitive advantage, Argos has two options: Option 1: Lower prices. Option 2: Increase the speed of home delivery.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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In order to improve its competitive advantage, Argos has two options:

Option 1: Lower prices

Option 2: Increase the speed of home delivery

(d) Justify which **one** of these options Argos should choose.

(9)

(e) Evaluate whether Sainsbury's is likely to benefit from its takeover of Home Retail Group. You should use the information provided as well as your knowledge of business.

(12)

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Specimen SAMs P2 page 66

Outline one reason why being an e-tailer gives Amazon an advantage over Argos.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining an advantage to Amazon of being an e-tailer. Award a maximum of 1 mark if points are not linked. e-tailing means that Amazon can reach a global market (1), therefore increasing its chances of being able to sell a large range of household goods (1). Without any high-street stores Amazon will have lower fixed costs (1), therefore Amazon can undercut Argos' prices (1). Do not accept reasons that would relate to Amazon but not because it is an e-tailer, for example its brand name.

June 2019 · Paper 2 · Q3(a) · §A MCQ **1 marks**

DATA FOR QUESTION 3

Figure 1 shows the sales revenue of a business over three years. 2015: £750 000; 2016: £1 500 000; 2017: £825 000.

Which one of the following is a barrier to international trade?

A. Aesthetics
B. Ethics
C. Tariffs
D. Trade-offs

MARK SCHEME ANSWER

C - Tariffs (1)

Nov 2020 · Paper 2 · Q3(d) · §A Explain **3 marks**

DATA FOR QUESTION 3

In 2018 a business sold three products, X, Y and Z. Figure 1 shows the sales revenue generated for each of these products. Product X: £700,000; Product Y: £150,000; Product Z: £350,000.

Explain one impact on a business from increased globalisation.

MARK SCHEME ANSWER

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. The opportunity to sell to more markets increases (1). Therefore, the business has the ability to generate global brand awareness (1). Thus, the business could make higher levels of revenue (1). The business may face higher levels of competition (1). This could cause the price of products to fall (1). Therefore, the business may have to reduce average total costs to maintain competitiveness (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

Nov 2021 · Paper 2 · Q5(c) · §B

Analyse **6 marks**

CASE STUDY EXTRACT

> Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the Tesla Model 3 (Figure 3). Introduced in 2017, the basic version of the Model 3 was originally priced at $50 000 and the company wanted to reduce this price to $35 000 by 2019. However, this was difficult to achieve because Tesla's California factory suffered from low levels of productivity. These problems resulted in Tesla making a $976 million loss in 2018. Following the introduction of tariffs on US imports by the Chinese government in 2018, Tesla decided to invest $5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only $2.4 billion of available capital, Tesla needs to raise external finance to fund it. In 2019, Tesla decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce. (Source: adapted from https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/ and https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory)

DATA FOR QUESTION 5

> Table 2 contains information about the price of a Tesla Model 3 car between 2017 and 2019. 2017: $50 000, 2018: $41 000, 2019: $35 000.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the *Tesla* Model 3 (Figure 3).

Introduced in 2017, the basic version of the Model 3 was originally priced at $50 000 and the company wanted to reduce this price to $35 000 by 2019. However, this was difficult to achieve because *Tesla*'s California factory suffered from low levels of productivity. These problems resulted in *Tesla* making a $976 million loss in 2018.

(Source: Grzegorz Czapski/Shutterstock)

Figure 3: *Tesla* Model 3 electric car

Following the introduction of tariffs on US imports by the Chinese government in 2018, *Tesla* decided to invest $5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only $2.4 billion of available capital, *Tesla* needs to raise external finance to fund it.

In 2019, *Tesla* decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce.

(Source: adapted from https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/ and https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory)

Analyse the impact on Tesla of increasing levels of globalisation.

MARK SCHEME ANSWER

Indicative content: As global incomes increase more people should be able to afford a $35 000 Model 3 (AO2). Tesla may face more competition from rival electric car manufacturers such as VW and Renault in the US and Chinese markets (AO2). Therefore, demand for electric cars should rise. As a result, it may be able to sell the extra cars that will be manufactured in its Chinese factory, allowing it to increase revenues and reduce its losses (AO3a). This may mean Tesla has to lower its prices below $35 000 to compete. Therefore, profit margins on each car may fall and the company may struggle to reduce its losses (AO3a). Level 1 (1-2): Limited application; limited connections. Level 2 (3-4): Sound application; chains of reasoning. Level 3 (5-6): Detailed application; logical chains of reasoning.

Nov 2021 · Paper 2 · Q6(b) · §B

Outline 2 marks

CASE STUDY EXTRACT

> Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the Tesla Model 3 (Figure 3). Introduced in 2017, the basic version of the Model 3 was originally priced at $50 000 and the company wanted to reduce this price to $35 000 by 2019. However, this was difficult to achieve because Tesla's California factory suffered from low levels of productivity. These problems resulted in Tesla making a $976 million loss in 2018. Following the introduction of tariffs on US imports by the Chinese government in 2018, Tesla decided to invest $5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only $2.4 billion of available capital, Tesla needs to raise external finance to fund it. In 2019, Tesla decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce. (Source: adapted from https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/ and https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory)

DATA FOR QUESTION 6

> In order to raise the finance for its new Chinese factory, Tesla is considering two options: Option 1: share capital. Option 2: loan capital.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the *Tesla* Model 3 (Figure 3).

Introduced in 2017, the basic version of the Model 3 was originally priced at $50 000 and the company wanted to reduce this price to $35 000 by 2019. However, this was difficult to achieve because *Tesla*'s California factory suffered from low levels of productivity. These problems resulted in *Tesla* making a $976 million loss in 2018.

(Source: Grzegorz Czapski/Shutterstock)

Figure 3: *Tesla* Model 3 electric car

Following the introduction of tariffs on US imports by the Chinese government in 2018, *Tesla* decided to invest $5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only $2.4 billion of available capital, *Tesla* needs to raise external finance to fund it.

In 2019, *Tesla* decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce.

(Source: adapted from https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/ and https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory)

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Nov 2021 P2 page 10

Outline one drawback to Tesla of a government introducing tariffs on imports from the US.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining an impact to Tesla of a government introducing tariffs on imports from the US. Award a maximum of 1 mark if points are not linked.

The Model 3 will now be much more expensive in countries such as China (1). Therefore, sales of Tesla's cars will fall (1).

Tesla will have to lower the price of its cars below $35 000 in dollars (1). This is because the tariff will increase the price above its target price (1).

Do not accept impacts that would not be appropriate for Tesla.

June 2022 · Paper 2 · Q2(e) · §A Explain **3 marks**

DATA FOR QUESTION 2

Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £200,000; Cost of new machine: £200,000.

Explain one impact on a business if tariffs are placed on its exports.

MARK SCHEME ANSWER

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. This may make the product more expensive in the foreign market (1). Therefore, demand for the product abroad could decrease (1). Therefore, the business may experience falling sales revenue (1). The business may have to reduce prices to reduce the effects of the tariff (1). Therefore, the contribution made per product may decrease (1). This will increase the break even point of the business (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

June 2022 · Paper 2 · Q7(a) · §C

Define 1 marks

CASE STUDY EXTRACT

> JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club. In March 2019, JD Sports announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like JD Sports, had its headquarters in Greater Manchester and was started by an ex-JD Sports director, David Makin. Footasylum had 69 stores in the UK in similar locations to JD Sports. Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to JD Sports such as Nike, Adidas and Puma. JD Sports brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct. In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers. (Source: adapted from https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/ and https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores)

DATA FOR QUESTION 7

> Figure 5 shows the percentage of customers the website www.jdsports.co.uk has had from various social media websites in 2020. Facebook 36.21%; Other social media 7.76%; WhatsApp WebApp 3.41%; YouTube 38.84%; Vkontakte 1.33%; Twitter 12.45%.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

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SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

(Source: Cineberg/Shutterstock)

JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club.

(Source: chrisdorney/Shutterstock)

Figure 4: The *JD Sports* website

In March 2019, *JD Sports* announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like *JD Sports*, had its headquarters in Greater Manchester and was started by an ex-*JD Sports* director, David Makin. Footasylum had 69 stores in the UK in similar locations to *JD Sports*. Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to *JD Sports* such as Nike, Adidas and Puma. *JD Sports* brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct.

In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers.

(Source: adapted from https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/ and https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores)

Define the term multinational.

MARK SCHEME ANSWER

Award 1 mark for a correct definition of multinational. These are businesses that produce goods and services in more than one country (1).

June 2023 · Paper 2 · Q3(e) · §A Discuss **6 marks**

DATA FOR QUESTION 3

Figure 2 shows a bar gate stock graph showing deliveries of raw materials to a business in June 2021. Three deliveries are labelled A, B and C. Maximum stock level approx 1,300; Re-order level approx 800; Buffer stock approx 100. Delivery A brings stock from approx 500 to 1,000 (500 units), Delivery B brings stock from approx 300 to 1,300 (1,000 units), Delivery C brings stock from approx 100 to 900 (800 units).

Discuss the impact on a business from new tariffs being introduced by countries it exports to.

MARK SCHEME ANSWER

Indicative content: Exported products will now become more expensive in the foreign market (AO1b). The business may try and find a way to reduce the cost of making each unit (AO1b). Therefore, demand for the exported product in the foreign market could fall. As a result, revenue generated by the business from its foreign, export market may fall (AO3a). This is because it may allow the business to reduce its prices. As a result, the tariff will have a minimal effect on the business (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

June 2024 · Paper 2 · Q1(b) · §A MCQ **1 marks**

Which one of the following is the best definition of a trade bloc?

A. A group of countries that trade freely between themselves
B. A problem involving suppliers not delivering raw materials
C. A tariff on exported goods and services
D. A tariff on imported goods and services

MARK SCHEME ANSWER

The only correct answer is A - A group of countries that trade freely between themselves. B is not correct because it is unrelated to a trade bloc. C is not correct because a trade bloc is not a tariff. D is not correct because a trade bloc is not a tariff.

2.1.4 Ethics, the environment and business (7 questions)

June 2019 · Paper 2 · Q2(e) · §A

Explain **3 marks**

DATA FOR QUESTION 2

Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £100 000; Cost of new machine: £400 000.

Explain one advantage to a business of improving its environmental sustainability.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. This may make the business appear more ethical (1). This may reduce pressure group activity (1). Therefore, the brand image of the business may improve (1). It is now less likely that the business will have to pay fines to the government for polluting the environment (1). As a result, the costs of the business may go down (1). This may make the business more competitive (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

June 2019 · Paper 2 · Q7(e) · §C

Evaluate 12 marks

CASE STUDY EXTRACT

In August 2017, UK supermarket group Sainsbury's decided to cut its costs by £500 million to remain competitive. One of the changes Sainsbury's made was to end its membership of Fairtrade. The Fairtrade scheme gives farmers in countries such as Kenya a higher price for their crops, such as tea. In return, Sainsbury's can use the Fairtrade logo on its products. This makes its groceries, such as bananas, more attractive to ethically-minded customers. Sainsbury's has decided to replace Fairtrade with its own scheme called 'Fairly Traded'. Critics of the change believe that it confuses customers. Protests about this change have already been held in London. Sainsbury's also decided to reduce its head office workforce by 1,000. This allowed the company to increase wages for its shop floor employees, including checkout operators and shelf stackers, by 4.4% to £8 per hour. This reduced the wage difference with Aldi, which pays £8.53 per hour. Sainsbury's wants to retrain shop floor employees to improve the customer service in its stores.

DATA FOR QUESTION 7

Sainsbury's case study. Figure 2 shows the market share of UK supermarkets in 2017. Tesco 27.8%; Sainsbury's 16.0%; Morrisons 10.5%; Asda 15.1%; Co-operative 7.0%; Aldi 6.2%; All other supermarkets 17.4%.

ADDITIONAL INFORMATION

Sainsbury's case study (replacing Fairtrade with its own 'Fairly Traded' scheme).

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

In August 2017, UK supermarket group *Sainsbury's* decided to cut its costs by £500 million to remain competitive.

One of the changes *Sainsbury's* made was to end its membership of Fairtrade. The Fairtrade scheme gives farmers in countries such as Kenya a higher price for their crops, such as tea. In return, *Sainsbury's* can use the Fairtrade logo on its products. This makes its groceries, such as bananas, more attractive to ethically-minded customers.

FAIRTRADE

© Fairtrade Foundation 2017

Sainsbury's has decided to replace Fairtrade with its own scheme called 'Fairly Traded'. Critics of the change believe that it confuses customers. Protests about this change have already been held in London.

© andrew aitchison

Sainsbury's also decided to reduce its head office workforce by 1,000. This allowed the company to increase wages for its shop floor employees, including checkout operators and shelf stackers, by 4.4% to £8 per hour. This reduced the wage difference with Aldi, which pays £8.53 per hour. *Sainsbury's* wants to retrain shop floor employees to improve the customer service in its stores.

(Source: adapted from https://www.theguardian.com/business/2017/jul/09/sainsburys-finds-itself-in-hot-water-over-fairtrade-tea)

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Evaluate the likely impact on Sainsbury's of replacing Fairtrade with its own Fairly Traded scheme. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: The Fairtrade scheme may allow the revenue from Sainsbury's own-branded products to increase (AO1b). Abandoning the Fairtrade scheme and replacing it with its own 'Fairly Traded' scheme could cut costs (AO1b). This is because ethically-minded consumers may appreciate that Sainsbury's are willing to pay extra to purchase ethically sourced crops and they are willing to pay a premium for their tea and coffee and other groceries to support this cause (AO2). This is because Sainsbury's no longer have to pay higher prices for Fairtrade products such as tea and bananas (AO2). Therefore, abandoning the Fairtrade scheme may give Sainsbury's the ability to cut prices in the very competitive UK grocery market. As a result, it is more likely to be able to compete on price against other supermarkets such as Aldi and Tesco. This may allow Sainsbury's to increase its market share and profit (AO3a). Therefore, Sainsbury's may be able to operate a cheaper ethical scheme which they control and set the rules for, whilst still retaining a premium price for its own label groceries. This may allow larger profit margins on each grocery item sold (AO3a). However, this depends on how consumers react to the abandonment of the Fairtrade scheme and the extent to which 'Fairly Traded' is seen as a viable replacement. Sainsbury's ethically-minded customers may decide to switch supermarkets causing revenues to fall by more than the reduction in costs. Therefore, profits may decrease rather than increase (AO3b). However, this depends on the degree to which ethically-minded customers notice the change in the scheme and the degree to which it is publicised by the media. The fact that protests are taking place in London suggest this change may damage Sainsbury's brand image causing a fall in market share (AO3b). Level 1 (1-4 marks): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b). Level 2 (5-8 marks): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b). Level 3 (9-12 marks): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

Nov 2020 · Paper 2 · Q7(a) · §C

Define 1 marks

CASE STUDY EXTRACT

> Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, Iceland enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million. Iceland believes this success has been due to improved marketing. It has introduced new products using the Slimming World and Millie's Cookies brand names. It also launched a new advertising campaign called 'The Power of Frozen'. In addition it has developed a new store format called 'The Food Warehouse'. These stores are much larger than a normal Iceland store which allows them to stock more luxury products. Iceland hopes that The Food Warehouse will help it to appeal to high-income customers and it plans to open more stores. In 2018, Iceland received positive publicity from its decision to ban all plastic packaging on its own-brand products by 2023. It intends to replace plastic with recycled paper, as shown in Figure 3. A survey of 5,000 of its customers showed that 80% of them agreed with the change. Pressure groups, such as Friends of the Earth, have welcomed Iceland's decision. Plastic waste has caused pollution of the world's oceans and has killed marine life. Pressure groups hope that Iceland's decision will be repeated by other supermarkets in the UK. (Source: adapted from https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products and http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf)

DATA FOR QUESTION 7

> Figure 4 shows information about the change in Iceland's sales revenue between 2013 and 2017.
> Percentage change in sales revenue: 2013: 1.1; 2014: 2.7; 2015: -4.4; 2016: -2.7; 2017: 2.0.

SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, *Iceland* enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million.

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Figure 3: *Iceland's* new packaging

(Source: adapted from https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products and http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf)

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Define the term pressure group.

MARK SCHEME ANSWER

Award 1 mark for a correct definition of pressure group. An organisation that aims to make a government or business change its decision making (1).

Nov 2020 · Paper 2 · Q7(e) · §C

Evaluate 12 marks

CASE STUDY EXTRACT

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SOURCE PAGES (FIGURES / CHARTS / DIAGRAMS)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

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Figure 3: *Iceland's* new packaging

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Evaluate whether Iceland is likely to benefit from its decision to ban all plastic packaging on its own-brand products. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: Banning plastic packaging on its own-brand products may result in Iceland having a unique selling point (USP) (AO1b). Changing the packaging may increase the variable costs of Iceland's own-brand products (AO1b). This is because Iceland's ready meals will now stand out to ethically minded food shoppers compared to rival supermarkets such as Asda or Tesco (AO2). This is because special paper-based packaging may have to be developed that will be much more expensive than the plastic packaging used to package wet products such as ice cream and fish (AO2). Therefore, Iceland may be able to attract more shoppers to its stores because it has successfully differentiated its products. This may lead to an increase in market share, which could lead to increased sales revenue and profit (AO3a). As a result, Iceland's average total cost of its own-brand products may increase. This may force it to increase prices in order to maintain its profit margins. This could cause Iceland to lose competitiveness compared to Tesco and Aldi in the own-brand product market (AO3a). However, Iceland is only making this change on its own-brand products and it will not happen until 2023. Therefore, the extent to which Iceland will be seen as an ethical store will be limited and by 2023 the other supermarkets may also have decided to make a similar change. This may remove any source of competitive advantage Iceland may gain from this change (AO3b). However, changing the packaging may only increase packaging costs marginally and Iceland may gain improved brand recognition. This may allow Iceland to become more attractive to high-income consumers. Therefore, the repackaging of its own-brand products could add value and allow a premium price to be charged. As a result, profit margins on its own-brand products could actually increase rather than fall (AO3b). Level 1 (1-4): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b). Level 2 (5-8): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b). Level 3 (9-12): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

Nov 2021 · Paper 2 · Q1(c) · §A

Explain 3 marks

DATA FOR QUESTION 1

> Figure 1 shows the organisational structure of a business. Figure 1: Manager at top, with five Employees boxes underneath connected directly to the Manager.

Explain one impact that a pressure group can have on a business.

MARK SCHEME ANSWER

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks.

Pressure groups may damage the brand image of the business (1). Therefore, potential customers may switch to ethical brands (1). As a result, the sales of the business may fall (1).

Pressure groups may cause the government to introduce new legislation (1). As a result, the activities of the business may be restricted (1). Thus, the business may not make as much profit (1).

Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

June 2022 · Paper 2 · Q3(c) · §A

Explain 3 marks

DATA FOR QUESTION 3

> Figure 2 shows a business' sales revenue from each of its four locations in South Yorkshire in 2020. Barnsley £10,000; Doncaster £70,000; Rotherham £30,000; Sheffield £90,000.

Explain one method that a business could use to reduce its environmental impact.

MARK SCHEME ANSWER

Award 1 mark for identification of a method, plus 2 further marks for explaining this method, up to a total of 3 marks. It could reduce the amount of packaging used (1). Therefore, less resources such as plastic are used (1). As a result, preserving non-renewable resources such as oil (1). It could make greater use of renewable energy (1). Therefore, fewer fossil fuels are burnt to create electricity (1). This could therefore reduce global warming (1). Accept any other appropriate response. Answers that list more than one method with no explanation will be awarded a maximum of 1 mark.

June 2024 · Paper 2 · Q3(e) · §A

Discuss **6 marks**

DATA FOR QUESTION 3

> Figure 1 shows the bar gate stock graph for a business in June 2023. A and B represent deliveries of stock to the business.

Discuss the benefit to a business from reducing its environmental impact.

MARK SCHEME ANSWER

Indicative content: It may reduce pressure group activity (AO1b). It may add value to the business since the business can now charge a higher price for its products (AO1b). Therefore, the business will avoid negative media coverage. This may enhance the brand of the business (AO3a). As a result, net profit margins may rise if the extra price charged exceed the additional costs of improving their environmental responsibility (AO3a). Level 1 (1-2): Demonstrates elements of knowledge with limited business terminology. Level 2 (3-4): Demonstrates mostly accurate knowledge with appropriate terminology in places. Level 3 (5-6): Demonstrates accurate knowledge throughout with detailed interconnected points and logical chains of reasoning.